

July 1, 2026 05:25 PM GMT

Asia Economics | Asia Pacific

The Viewpoint: Investors' questions on our capex super-cycle thesis

We have been in active discussions with investors on our thesis of a capex super-cycle. The discussions regard how broad this capex cycle is across sectors and geographies, what the implications for inflation are, and how long this cycle can last.

In this report, we address the key questions which have emerged from our recent client conversations related to our thesis on Asia's industrial and capex super-cycle.

1) The capex and industrial super-cycle is just driven by AI, isn't it?

AI is a key driver but energy, defense, and efforts to onshore industrial supply chains are equally important in driving this capex super-cycle. In addition to rising domestic capex, Asia's industrial super-cycle is also driven by a sharp, broad-based rise in exports. Semis exports are super strong but non-semis exports are growing at their strongest pace since the mid-2000s (ex-base effects), with strength across almost all end-use segments.

2) Surely, AI spending must be the biggest driver with the largest delta in this super-cycle, isn't it?

Energy investment is actually ~2.5x AI-related spending. We expect AI and semiconductor companies' capex to rise from ~US\$380bn this year to US\$420bn in 2027. Meanwhile, we project a rise in energy-related capex from US\$900bn in 2026 to US\$1 trillion next year.

3) Is it just Korea and Taiwan driving this capex cycle?

Asia's capital goods imports are growing at 33%Y on a three-month moving average basis. The strength is more pronounced in North Asia on a relative basis, but growth rates in almost all economies are robust relative to history.

4) Will capex bring inflationary pressures?

Yes, it will bring modest upside risks to inflation in the near term. But a capex-driven growth cycle will lead to productivity gains, which will in turn limit the extent of the upside risks to inflation.

5) How long can this cycle last? What would break it? Will it be because Asian central banks have to hike as the Fed hikes?

We see this as a multi-year trend. First, the drivers behind this capex trend are all structural rather than cyclical like in 2016-18. Second, corporate sector balance sheets are healthy and can support this super-cycle. Countercyclical rate hikes will not derail the cycle.

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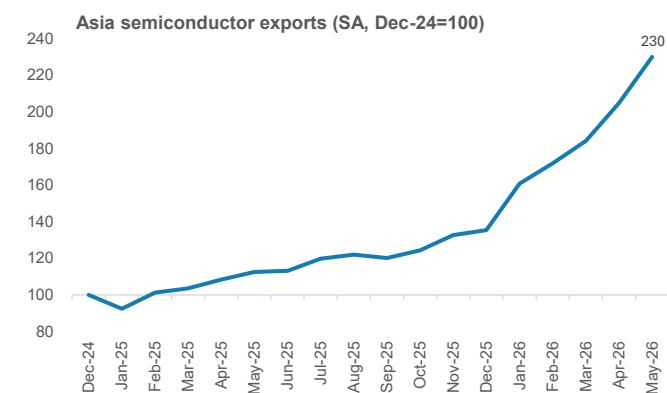
1) The capex and industrial super-cycle is just driven by AI, isn't it?

AI is a key driver but energy, defense, and efforts to onshore industrial supply chains are equally important in driving this capex super-cycle. In addition to rising domestic capex, Asia's industrial super-cycle is also driven by a sharp, broad-based rise in exports. Semis exports are super strong but non-semis exports are growing at their strongest pace since the mid-2000s (ex-base effects), with strength across almost all end-use segments.

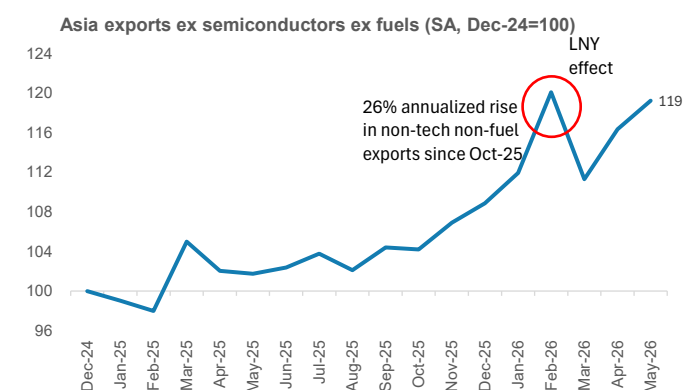
We see multiple drivers of this capex and industrial super-cycle: Undoubtedly, AI and AI-related infrastructure spending is one of the key drivers, but energy, defense, and industrial capex also lend significant structural support to this super-cycle (see [Asia Economics: Headed Towards an Industrial Super-Cycle](#), 27 April 2026). Economies across the region have already committed to raising their spending on energy and defense over the medium term. At the same time, economies are investing to secure their supply chains, which also creates a structural need for rising industrial capex.

The incoming trade data are already exhibiting robust growth beyond AI: Asia's exports and capital goods imports across the US, Europe, and Asia are already growing very strongly. Asia's semis and non-semis exports are both contributing to the strength in overall exports. As we dive deeper into these data sets, they reveal strength that extends beyond AI.

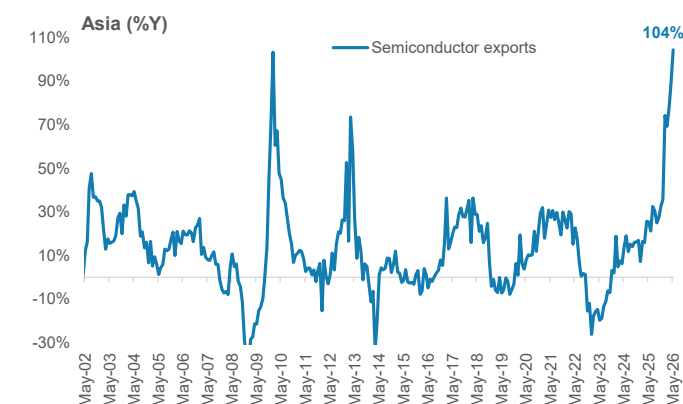
- **Non-semis exports:** Asia's non-semis exports have risen 26% since the October trough on an annualized basis and are the strongest since the mid-2000s (excluding the periods which were influenced by base effects). The non-semis exports recovery has been broad-based across end-use product segments, with capital goods, cars, and intermediate goods driving the first leg of the recovery, followed by a pickup in consumer goods exports.
- **Non-AI related goods exports:** Using the WTO's [definition](#) of AI-enabling goods to identify a broad range of other tech hardware, components, and critical materials/chemicals in the AI supply chain, we derive the trend in China's non-AI related goods exports, which are also growing at a robust 10%Y.

Exhibit 1: Semiconductor exports have remained super strong

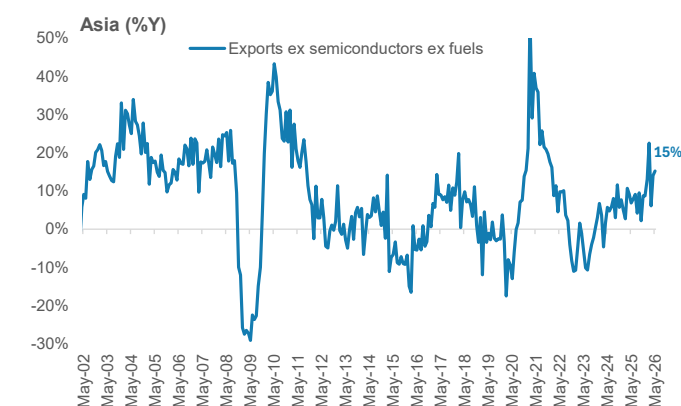
Source: Haver, CEIC, Morgan Stanley Research; Note: Indonesia, Thailand and Australia's May data are estimates.

Exhibit 2: But non-semis exports have also risen 26% since the October trough on an annualized basis

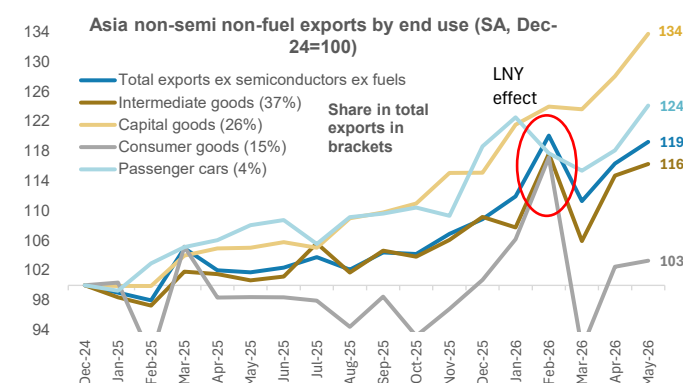
Source: Haver, CEIC, Morgan Stanley Research; Note: Indonesia, Thailand and Australia's May data are our estimates.

Exhibit 3: Asia's semis exports grew at 104%Y in May

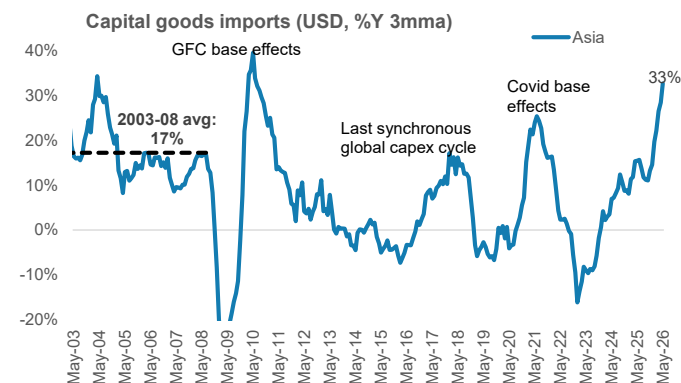
Source: Haver, CEIC, Morgan Stanley Research

Exhibit 4: Non-semis exports have also picked up to the strongest YoY growth since the mid-2000s (excluding base effects)

Source: Haver, CEIC, Morgan Stanley Research

Exhibit 5: The recovery in non-tech exports has been broad-based, with capital goods, cars, and intermediate goods driving the first leg of the recovery

Source: Haver, CEIC, Morgan Stanley Research

Exhibit 6: This is shaping up to be the strongest industrial and capex cycle since the 2000s

Source: Haver, CEIC, Morgan Stanley Research

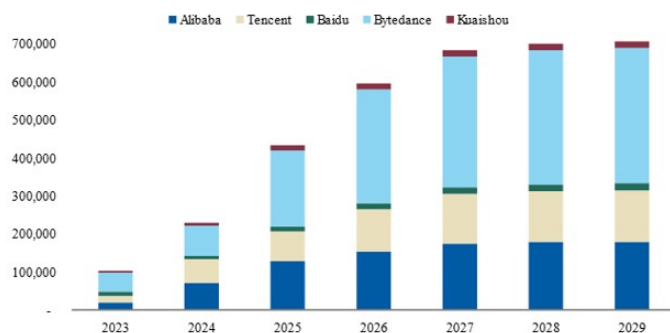
2) Surely, AI spending must be the biggest driver with the largest delta in this super-cycle, isn't it?

Energy investment is actually ~2.5x AI-related spending. We expect AI and semiconductor companies' capex to rise from ~US\$380bn this year to US\$420bn in 2027. Meanwhile, we project a rise in energy-related capex from US\$900bn in 2026 to US\$1 trillion next year.

AI and semiconductor companies' capex is accelerating: As regards AI-related spending, China has been the key driver within the region. Our Internet analyst for China, Gary Yu, expects China's hyperscaler capex to increase to Rmb600bn (US\$85bn) this year and further to ~Rmb700 (US\$100bn) by 2028. Meanwhile, our tech hardware and analyst teams estimate that capex in Asia is around US\$250bn in 2026, which will rise to ~US\$270bn by 2028. Recent announcements by the Korean government and chipmakers may not significantly affect the near-term numbers, as most of the investments are long-dated and much of it is pull-ahead rather than net new. Execution also remains key to watch.

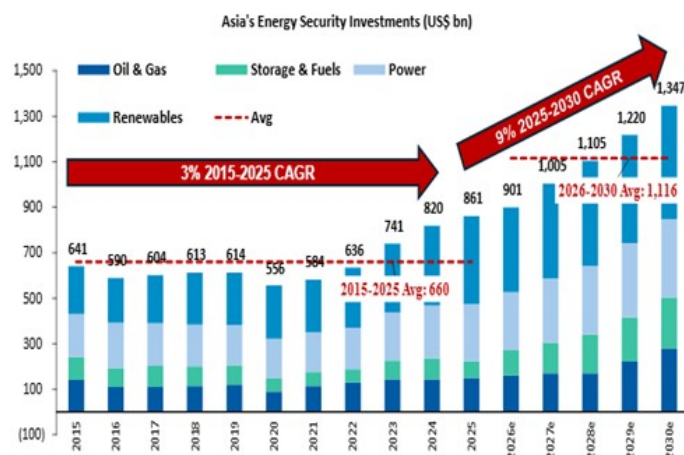
But energy capex is bigger: But energy investments are ~2.5x the size of AI-related spending, estimated at US\$900bn in 2026. Our Asian energy team expects a 9% CAGR in Asia's energy investment to US\$1.1trn by 2028 and \$1.3trn by 2030. Against this backdrop, energy capex is a larger driver than AI-related in an absolute sense and will also have a bigger delta in USD terms over the medium term. To be sure, powering AI is one of the drivers of energy capex. But our Asian energy team estimates that data centers will still consume only one-sixth of all new power units in the region by 2030. As the largest net oil and gas importing region, Asia only produces one-third of its energy needs domestically and has underinvested in domestic energy supply chains over the past decade.

Exhibit 7: Our Internet analyst for China, Gary Yu, expects China's hyperscaler capex to increase to Rmb600bn (US\$85bn) this year and further to ~Rmb700bn (US\$100bn) by 2028



Source: Company data, Morgan Stanley Research estimates.

Exhibit 8: Energy-related capex will be the most important driver in Asia, supercharged by the energy shock



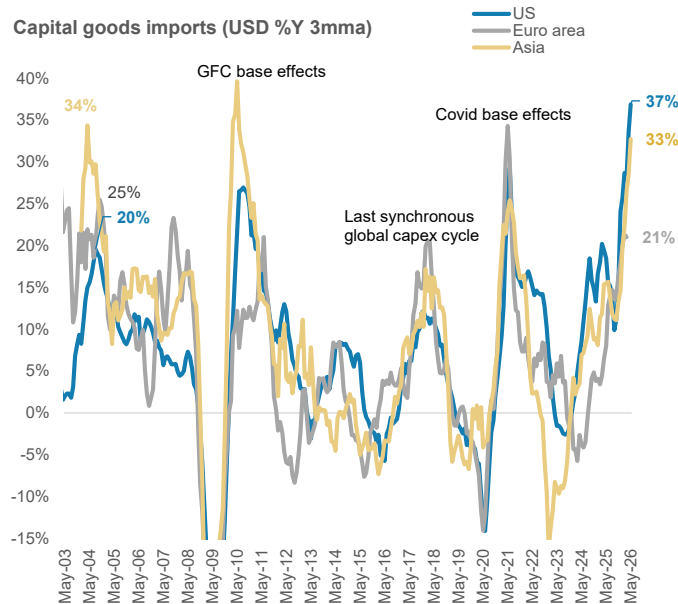
Source: World Statistical Review of Energy, IEA, CEIC Morgan Stanley Research

3) Is it just Korea and Taiwan driving this capex cycle?

Asia's capital goods imports are growing at 33%Y on a three-month moving average basis. The strength is more pronounced in North Asia on a relative basis, but growth rates in almost all economies are robust relative to history.

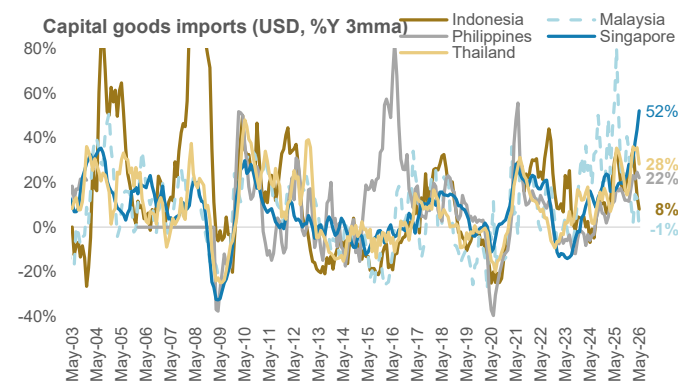
Our preferred high-frequency capex indicator – capital goods imports – is showing that Asia's growth is at 33%Y, just a bit behind the US' growth of 37%Y in May. Within Asia, the strength is broad-based, with strongest readings in the North Asian economies, Singapore, and Australia. Malaysia's capital goods imports growth is the softest, but this is coming off a strong base of comparison.

Exhibit 9: Capital goods imports – our preferred high frequency capex indicator – have been strong



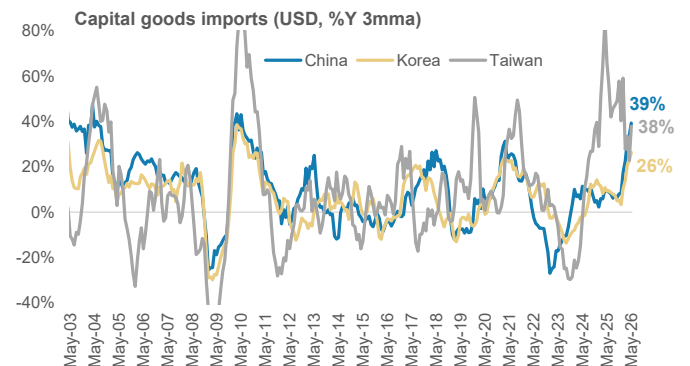
Source: Haver, CEIC, Morgan Stanley Research

Exhibit 11: ...as well as Singapore...



Source: CEIC, Morgan Stanley Research

Exhibit 10: The strength is more pronounced in North Asian economies...



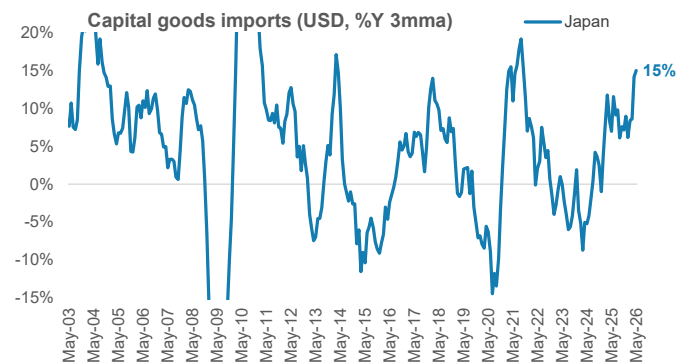
Source: CEIC, Morgan Stanley Research

Exhibit 12: ...and Australia



Source: CEIC, Morgan Stanley Research

Exhibit 13: In Japan, capital goods imports growth has also accelerated



Source: CEIC, Morgan Stanley Research

Exhibit 14: India's capex cycle is expected to accelerate



Source: CEIC, Morgan Stanley Research

4) Will capex bring inflationary pressures?

Yes, it will bring modest upside risks to inflation in the near term. But a capex-driven growth cycle will lead to productivity gains, which will in turn limit the extent of the upside risks to inflation.

Choke points in industrial supply chains and rise in commodity prices will bring modest near-term upside risks to inflation: We are already witnessing signs of “Chipflation.” Our tech hardware analysts Shawn Kim and Joseph Moore note that memory prices are moving up in “a structural reset in the price behaviour of a foundational input” driven by “inelastic demand meeting inflexible supply” (see [Sunday Start | What's Next in Global Macro: Chipflation](#), 7 June 2026). At the same time, because chips are an intermediate input into what goes into the consumption basket, the effects on final consumer prices are likely to be lagged and muted. Other segments of the industrial supply chain may also experience tightness in demand-supply balances, driving prices higher in the near term. Moreover, the unfolding industrial and capex super-cycle will add to the upside on commodity prices with pass-through effects to finished goods. Hence, it will bring modest upside risks to inflation in the near term.

But productivity gains will limit the upside: Taking a step back, capex-driven cycles tend not to create as big an inflationary impulse as consumer-driven cycles. This is particularly the case for emerging markets, where there is often slack in the labour markets. What's more, the onset of a capex cycle will lead to significant productivity gains which tend to outpace wage gains, thereby limiting the inflationary impulses. For instance, if we consider the 2000s when the cycle in Asia was driven by capex and exports, GDP growth had averaged 7.2% during 2003-07 while CPI inflation was far more muted at just 2.8% over the same period – even though prices of all commodities and in particular oil had risen several-fold during that period.

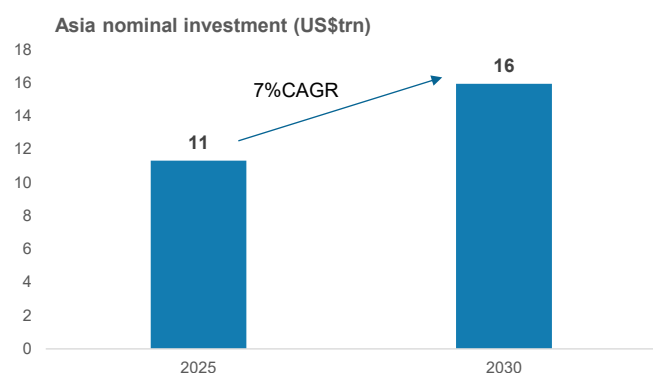
5) How long can this cycle last? What would break it? Will it be because Asian central banks have to hike as the Fed hikes?

We see this as a multi-year trend. First, the drivers behind this capex trend are all structural rather than cyclical like in 2016-18. Second, corporate sector balance sheets are healthy and can support this super-cycle. Countercyclical rate hikes will not derail the cycle.

This will be a long cycle – for two good reasons:

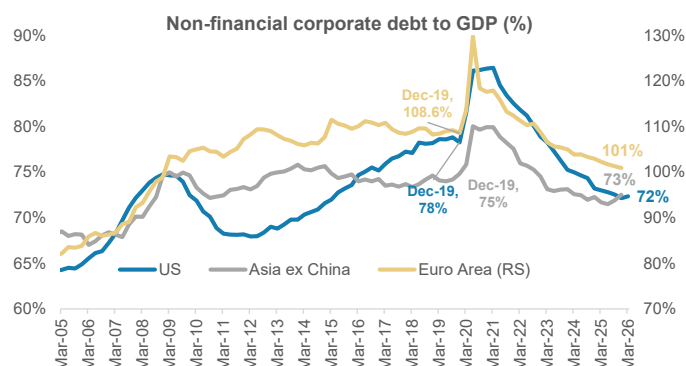
1. **This is a structural rise in spending, in areas that are almost essential in today's context:** So, it will be hard to envisage reasons for economies to pull back on spending in these areas meaningfully. This means that the capex trend will be less perturbed by cyclical headwinds. Indeed, we have been through one such episode where the strength of the industrial cycle outweighed the energy price shock.
2. **The strength of the balance sheets will be the key determinant of the longevity of expansions:** Corporate balance sheets – which is the area to focus on because it's capex driven – are very healthy. Across the US, Europe, and Asia ex China, corporate debt to GDP ratios have been trending down all through this expansion since Covid. Compared to a decade ago, US corporate debt to GDP ratios are at similar levels, and are lower in Europe and Asia ex China. This matters because downturns tend to happen when leverage has built up and is met with rate hikes, which then tend to create non-linear drags on the expansion. In contrast, the healthy starting points of the corporate balance sheet mean that this will be a conducive backdrop that will lend longevity to this cycle, we believe. Indeed, this is a unique business cycle – we are now in the sixth year of expansion and private sector balance sheets have been deleveraging until recently. This state of private sector balance sheets is why we did not see recessionary conditions when central banks tightened monetary policy aggressively during 2022-23.

Exhibit 15: We see a structural rise in spending across key demand drivers sustaining the capex cycle



Source: CEIC, Haver, IEA, Lowy Institute, Morgan Stanley Research estimates; Note: *We exclude China's real estate capex given the structural decline in property demand.

Exhibit 16: Corporate balance sheets – the key determinant of the longevity of expansions – are very healthy

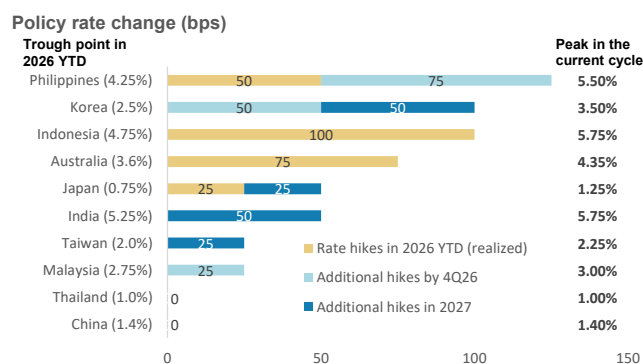


Source: CEIC, Haver, Morgan Stanley Research

Rate hikes still forthcoming... A related question that we frequently get is whether rate hikes will bring downside to the cycle. We think rates are headed higher in Asia, but for very different reasons as compared to a few months ago. When geopolitical tensions broke out, there was some risk that central banks in Asia might have had to hike rates in order to combat currency depreciation pressures and imported inflation, especially from higher energy prices. In other words, rate hikes would have been done against a stagflationary backdrop and would be pro-cyclical.

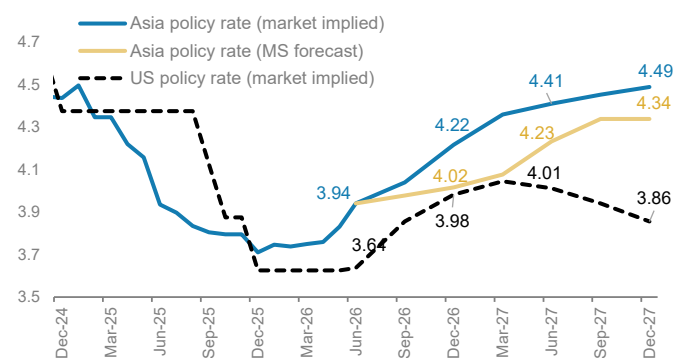
...but will be countercyclical in nature: Now, we still expect rates to rise, but for very different reasons. As oil prices are moving lower, this will fuel the industrial cycle and gives rise to a stronger demand backdrop. Just as we see upside risks to growth, we also see upside risks to our policy rate forecasts. Hence, we view this potential monetary tightening as countercyclical rather than pro-cyclical.

Exhibit 17: We expect further rate hikes, but in a countercyclical fashion in response to stronger demand



Source: Haver, Morgan Stanley Research forecasts

Exhibit 18: We see risks that our forecasts may converge with market pricing, but as a result of a stronger demand outlook rather than oil prices and currency depreciation pressures



Source: WITP, Morgan Stanley Research forecasts; Note: Asia includes India, Korea, Malaysia, Thailand, Australia, Japan, Taiwan, Indonesia and Philippines. Market consensus is used for Indonesia and Philippines as their market pricing is not available.

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